INVESTMENT BANKING AND FINANCIAL SERVICES

MODULE 2

Issue Management: Public Issue, classification of companies, eligibility, issue pricing, promoter's contribution, minimum public offer, prospectus, allotment, preferential allotment, private placement, Book Building process, designing and pricing, Green Shoe Option; Right Issue: promoter's contribution, minimum subscription, advertisements, contents of offer document, Bought out Deals, Post issue work & obligations, Investor protection, Broker, sub broker and underwriters; De-mat accounts: introduction, merits and limitations.

ISSUE MANAGEMENT

Issue Management refers to the end-to-end process involved in raising capital from the public by issuing securities (such as equity shares or debentures). In other words, Issue management is the process of handling the sale of a company's securities like shares and bonds. It includes promoting these securities to investors, managing new and existing shares, and dealing with things like rights issues or when the company offers more shares. It includes:

- **Pre-Issue Planning** – Structuring the offer, compliance checks, pricing strategy.
- **Marketing** – Drafting and circulating the prospectus, conducting roadshows.
- **Allotment** – Collecting applications, finalizing investors, and issuing shares.
- **Post-Issue Compliance** – Filing documents with SEBI, Registrar of Companies (RoC), and stock exchanges.

Issue Management typically refers to the process of managing and overseeing securities issues, such as Initial Public Offerings (IPOs), Rights Issues, Follow-On Public Offers (FPOs), and other capital market-related offerings.

Key Regulations by SEBI

1. SEBI (Issue of Capital and Disclosure Requirements) Regulations (ICDR), 2018

SEBI's **ICDR Regulations** are the backbone of the guidelines for managing securities issues. These regulations lay down the procedures for:

- **Public Offers** (IPO, FPO, Rights Issue)
- **Private Placements**
- **Qualified Institutional Placements (QIP)**
- **Preferential Allotments**

2. SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011

These regulations apply when a company issues securities that may result in a change in control, such as:

- **Takeovers**
- **Mergers and Acquisitions**

It ensures that all material information is disclosed and the public is given fair access to such opportunities.

3. SEBI (Listing Obligations and Disclosure Requirements) (LODR) Regulations, 2015

After an offering (IPO, FPO), the company must comply with **LODR Regulations** for continuous disclosure and reporting obligations to the stock exchanges and investors.

4. SEBI (Prohibition of Insider Trading) Regulations, 2015

These regulations are crucial in preventing unfair practices related to insider trading, ensuring that those involved in the offering process do not trade based on non-public, material information.

Stages of Issue Management as per SEBI

1. Pre-Issue Stage

Appointing Intermediaries: Companies must appoint merchant bankers, legal advisors, registrars, and underwriters for the offering.

  - Merchant bankers play a critical role in compliance and due diligence.
  - Legal advisors ensure all filings are in line with the regulatory framework.

- **Due Diligence**:
  - A comprehensive review of the company's financials, operations, and legal standing.
  - A Due Diligence Certificate from the merchant banker, stating the information provided is correct and in compliance with SEBI guidelines.
- **Draft Red Herring Prospectus (DRHP)**:
  - DRHP is filed with SEBI for review, providing detailed information about the company, its financials, the offering, and associated risks.
  - SEBI reviews the DRHP and can ask for clarifications or amendments before the Red Herring Prospectus (RHP) is finalized.

2. Approval and Public Offer

- **Filing with SEBI**: Once the RHP is finalized, the company files it with the SEBI for approval. SEBI's approval is based on compliance with the ICDR regulations.
- **Pricing and Issue Size**: SEBI ensures that the pricing of the securities is fair, reasonable, and justifiable. The issue size and the type of securities (e.g., equity or debt) are also considered.
- **Opening the Offer**: Once approved, the issue is opened for subscription. SEBI's role includes ensuring all disclosures are made accurately to prevent misleading information.
- **Underwriting**: In case of under-subscription, underwriters (financial institutions or individuals) are responsible for buying the unsubscribed portion of the issue.

3. Post-Issue Compliance and Closing

- **Redemption and Allotment**: After the issue is closed, the company must ensure proper allotment of securities to investors.
- **Listing on Stock Exchange**: The securities must be listed on a stock exchange to allow liquidity and trading. SEBI ensures the company meets the listing requirements**.**

4. Continuous Disclosure Post-Issue

- **Quarterly Financial Statements**: The company must disclose its financial results to the public on a quarterly basis.
- **Annual Reports**: Comprehensive annual reports that comply with **LODR** regulations must be submitted.

Important Documents in Issue Management

1. **Draft Red Herring Prospectus (DRHP)**: A preliminary document filed with SEBI that provides detailed information about the company and the offering.
2. **Red Herring Prospectus (RHP)**: Final prospectus filed with the stock exchanges and SEBI, containing finalized terms of the offering.
3. **Prospectus**: The final document issued to the public for an offering, including the company's financials, risk factors, and usage of proceeds.
4. **Offer Document**: In the case of a rights issue or public offer, the company issues an offer document, outlining the terms and conditions of the offer.

SEBI's Role in Ensuring Fairness in Issue Management

1. Investor Protection

- SEBI ensures that investors have all relevant information to make informed decisions. This includes risk factors, financial performance, and corporate governance.
- **Misleading information** or fraudulent practices are strictly penalized under SEBI's **Fraudulent and Unfair Trade Practices Regulations**.

2. Disclosure & Transparency

- Full disclosure is required, including **material information** that could impact the valuation of securities.
- This includes details like:
  - Promoter background
  - Financial statements for the last three years
  - Shareholding patterns
  - Risk factors (market, regulatory, financial, etc.)

3. Fair Pricing

- SEBI ensures that pricing is **not arbitrary** and based on a fair valuation process.
- For IPOs, the company must disclose the method of pricing, which could be:
  - **Book-building** (determining the price through investor bids)
  - **Fixed price offering**

4. Regulation of Underwriting

- SEBI sets conditions for **underwriters** to ensure that they are financially capable of taking up the unsold portion of the securities issue, ensuring full subscription.

Role of Merchant Bankers and Other Intermediaries

- **Merchant Bankers**: These are key players in issue management, responsible for ensuring compliance with SEBI regulations. They conduct due diligence, file the DRHP and RHP, and ensure the offering is fair and transparent.
- **Legal Advisors**: They provide legal guidance and ensure that the offering complies with all laws and regulations.
- **Underwriters**: They guarantee the sale of securities, offering a safety net for the company if the issue is under-subscribed.

- **Registrars**: These firms maintain a record of investors, process applications, and ensure smooth allotment and transfer of securities.

Post-Issue Management and Reporting Requirements

Once the issue has been successfully completed:

1. **Post-Issue Reports**: Regular updates on the status of the issue (e.g., allotment, refund process) are filed with SEBI.
2. **Compliance with LODR Regulations**: The company must continue to disclose relevant financial information, updates on corporate governance, and other material developments.
3. **Shareholding Pattern**: A quarterly and annual disclosure of the company's shareholding pattern is required.

Public Issue:

A public issue is defined as an offer or invitation made to 200 or more persons to subscribe to securities. It requires a detailed prospectus and approval from SEBI.

There are two primary types:

1. **Initial Public Offering (IPO)**:
    - Made by **unlisted companies** to get listed on stock exchanges.
    - Aimed at raising funds for growth, expansion, or debt repayment.
    - IPO marks the company's **first entry into the capital markets**.
2. **Follow-on Public Offer (FPO)**:
    - Made by a **listed company** to raise additional funds.
    - Used for expansion or debt restructuring by companies already traded on the exchange.

Classification of Companies

Companies eligible to make a public issue are categorized primarily based on their listing status, size, and business model. A public issue is broadly defined as an offer or invitation made to 200 or more persons to subscribe to securities, which necessitates a detailed prospectus and SEBI approval.

The classifications include:

- **Unlisted Company**: This refers to a company that is not yet listed on any stock exchange and is seeking listing for the first time through an Initial Public Offering (IPO).

- **Listed Company**: This is a company already traded on an exchange that makes an additional issue of securities, typically through a Follow-on Public Offer (FPO).
- **Main Board Issuer**: These are generally large companies that must comply with SEBI's stringent eligibility norms, which are primarily related to profitability and net worth.
- **SME Issuer (Small and Medium Enterprise)**: These companies benefit from relaxed eligibility norms and list on specialized platforms like NSE Emerge or BSE SME. For an SME IPO, the post-issue paid-up capital must be less than or equal to ₹10 crore, or between ₹10 crore and ₹25 crore. An SME issuer also needs to satisfy the specific track record and eligibility conditions of the SME Exchange where it proposes to list.
- **IGP Issuer (Innovators Growth Platform)**: This category is for start-ups or companies with innovative business models that may not meet the profitability criteria for the Main Board. To be eligible, they require 25% investment from Qualified Institutional Buyers (QIBs) or Alternative Investment Funds (AIFs). The Innovators Growth Platform is exclusively accessible to institutional investors and non-institutional investors.

Eligibility for Public Issues

SEBI's ICDR Regulations (Regulation 6) outline the pathways for a company's IPO eligibility, ensuring that only financially sound entities raise public money.

For Unlisted Companies (Initial Public Offer - IPO): An unlisted company can become eligible for a public issue through one of two primary routes:

1. **Profitability Route (Regulation 6(1))**: To qualify via this route, an unlisted company must satisfy all of the following criteria:
   - It must have net tangible assets of at least ₹3 crore in each of the preceding three full years, with at least 50% of these assets held in monetary form.
   - It must have a track record of distributable profits in at least three of the past five years.
   - It must possess a minimum net worth of at least ₹1 crore in each of the preceding three years.
   - If the company has changed its name within the last year, at least 50% of its revenue for the preceding one year must have been generated from the new business activity.
   - The issue size should not exceed five times the pre-issue net worth as per the last audited balance sheet.
   - The company must ensure it will have at least 1,000 prospective allottees in the issue.
   - If any of these conditions are not met, the company cannot proceed with a public issue through this route.
2. **QIB Route (Regulation 6(2))**: If an unlisted company does not meet the profitability criteria, it can still make an IPO if it complies with these conditions:
   - The entire issue must be made through the book building process.
   - The issuer must undertake to allot at least 75% of the net offer compulsorily to Qualified Institutional Buyers (QIBs).

- If the company fails to make this minimum 75% allotment to QIBs, the full subscription money received must be refunded.
- This route exists because QIBs are considered informed investors who can better assess risk, thereby instilling confidence in the issue and mitigating risk for retail investors.

In addition to these, alternative routes like the Appraisal Route (project appraised by public financial institutions/scheduled commercial banks with 15% participation, including 10% from appraisers, plus 10% to QIBs) and Market Making (post-issue size minimum ₹10 crore or market making for at least two years) are mentioned for unlisted companies.

For Listed Companies (Further Public Offer - FPO): A listed company is eligible to make a public issue of equity shares or convertible securities if it satisfies specific conditions:

- The issue size does not exceed five times its pre-issue net worth as per the audited balance sheet of the last year.
- If the issue size does exceed five times the company's pre-issue net worth, the listed company must make the issue through the book building process and allot 50% of shares to QIBs; otherwise, the collected subscription money must be refunded.
- Similar to unlisted companies, if the company has changed its name, at least 50% of its revenue for the preceding one year must be from the new activity.
- For Fast Track Issues (FTIs), which allow listed companies quicker access to the market, shares must have been listed on a nationwide terminal for at least three years preceding the reference date. The average market capitalization of public shareholding for a fast track further public offer must be at least ₹1,000 crore.

Issue Pricing

SEBI permits two primary mechanisms for offering securities in public issues: Fixed Price Issue and Book Building.

1. **Fixed Price Issue**:

- The issue price is predetermined and explicitly stated in the prospectus upfront.
- Investors are aware of the exact price they will pay when they apply.
- While simpler for small investors, this method carries the risk of under-pricing (if demand is high, the company misses out on raising more funds) or overpricing.

2. **Book Building Issue**:

- This is a market-driven pricing mechanism aimed at eliciting demand and assessing the price for the securities.
- The company specifies a price band (e.g., ₹100 to ₹120) with a floor price (minimum bid price) and a cap price (upper limit). The cap price cannot be more than 120% of the floor price and must be at least 105% of the floor price.

- Investors bid within this declared price band, indicating both the quantity of shares and their desired price.
- The final issue price, known as the cut-off price, is determined by the issuer in consultation with the lead managers based on the demand received within the band.
- Retail Individual Investors (RIIs) have the option to bid at the "cut-off price," signifying their willingness to accept shares at any price within the band, and they are required to pay the highest price of the band along with their application.
- The Red Herring Prospectus (RHP) typically contains the floor price or price band but not the final issue price or number of shares. The floor price or price band is announced via advertisement at least two working days before the issue opening.
- Book building is mandatory for many public issues, especially if the company does not meet certain profitability criteria.

Allocation in Book Building Issues (Regulatory Quotas): To ensure broad participation and fair allotment, SEBI mandates specific allocations for different investor categories:

- **Qualified Institutional Buyers (QIBs)**: A minimum of 50% of the net offer is reserved for QIBs. However, in issues made under the QIB Route (for companies not meeting profitability norms), at least 75% of the net offer must be allotted to QIBs. A portion of the QIB category, up to 60%, may be allocated to anchor investors on a discretionary basis, with their bidding opening one day before the issue.
- **Retail Individual Investors (RIIs)**: A minimum of 35% of the net offer is reserved for RIIs, who are individuals applying for securities valued at not more than ₹2 lakh. For issues under the QIB Route, this reservation is not more than 10%.
- **Non-Institutional Investors (NIIs)**: 15% of the net offer is reserved for NIIs, who are individuals or corporates applying for securities valued above ₹2 lakh. For issues under the QIB Route, this is not more than 15%. Within the NII category, the allocation is further split: one-third for application sizes between ₹2 lakh and ₹10 lakh, and two-thirds for application sizes above ₹10 lakh.
- **Flexibility in Allotment**: Unsubscribed portions in the RII or NII categories can be allocated to applicants in other categories. However, in issues via the QIB route, the unsubscribed portion in the QIB category is not available for subscription to other categories.
- **Differential Pricing**: Issuers may offer securities at different prices to various categories. RIIs or employees entitled to reservation may be offered securities at a price not more than 10% lower than the net offer price to other categories (excluding anchor investors).

Promoter's Contribution

Promoter's contribution refers to the mandatory minimum holding that promoters must invest in the post-issue capital of the company.

- **For IPOs by Unlisted Issuers**: Promoters are required to contribute not less than 20% of the post-issue capital. This contribution is subject to a lock-in period of three years from the date of allotment. Any promoters' holding exceeding this minimum 20% is locked in for six months from the allotment date. However, if many of the issue proceeds (excluding the offer for sale portion) are proposed to be utilized for capital expenditure, the lock-in period for the minimum promoters' contribution is three years, and for the excess holding, it's one year from the allotment date.
- **For FPOs by Listed Issuers**: Promoters shall contribute 20% of the proposed issue size or 20% of the post-issue capital. The lock-in rules for FPOs are like IPOs, with longer lock-ins (three years for minimum contribution, one year for excess) if the majority of proceeds are for capital expenditure.
- **Purpose**: This provision is crucial to ensure that promoters maintain a minimum stake and commitment to the company for a specified period after the issue, or after the project for which funds were raised commences.
- **Exceptions**: The requirement for minimum promoters' contribution does not apply if an issuer does not have any identifiable promoter (e.g., a professionally managed company).
- **Form of Contribution**: Promoters' contribution can be made through equity shares (including SR equity shares) or convertible securities.
- **Ineligible Securities**: Certain specified securities are not eligible for computing minimum promoters' contribution, such as those acquired for consideration other than cash involving revaluation of assets or capitalization of intangible assets, or those pledged with any creditor other than for issuer/subsidiary borrowings. However, securities acquired through schemes approved by a High Court or tribunal may be eligible.
- **Process**: The promoters must satisfy these contribution requirements at least one day prior to the date of opening of the issue. The amount of promoters' contribution must be kept in an escrow account with a scheduled commercial bank, to be released along with the issue proceeds.

Bought Out Deals

A Bought Out Deal (BOD) is a method of raising capital where a promoter or company sells a large block of shares to a single investor (typically a merchant banker) before the shares are listed on a stock exchange. It is inherently private and does not involve a public issue at the time of the initial transaction. This method is popular for unlisted companies seeking fast and less-regulated funding.

Key Features:

- **Pre-IPO Arrangement**: The investor buys shares at a negotiated price from promoters or the company. The investor then lists these shares later (post-IPO) to exit their investment.
- **Negotiated Pricing**: The price is mutually agreed upon, based on the company's valuation, and is not influenced by immediate market demand.

- **Liquidity Arrangement**: Bought-out shares are typically locked in for a fixed period before they can be offloaded in the market.
- **No Immediate Public Issue**: Unlike IPOs, there is no public participation in the initial transaction.

Parties Involved:

- Issuer Company
- Merchant Banker / Institutional Investor
- SEBI and Stock Exchanges (indirectly involved post-listing)

Advantages:

- Fast access to capital
- Lower compliance cost compared to a public issue in the early phase
- No immediate burden of public issue regulations

Limitations:

- Concentration risk: A single buyer holds a large stake.
- Valuation concerns: The valuation is not market-discovered.
- Limited transparency compared to a public issue.

Post-Issue Work & Obligations

After a public or rights issue is completed, the company and the intermediaries involved have several responsibilities and obligations to fulfil, governed by SEBI (ICDR) Regulations and Listing Obligations.

Key Aspects of Post-Issue Management:

1. **Allotment Procedure and Basis of Allotment**:
    - The basis of allotment must be finalized in a fair and proper manner in consultation with the Designated Stock Exchange.
    - Allotment is based on valid applications received and the demand across different investor categories.
    - The process must be completed within 6 working days of the issue closure (T+6).
    - Allotment and credit of dematerialized securities should be done electronically.

2. **Refunds**:
    - Application money must be refunded or unblocked electronically within 6 working days of issue closure (T+6) if shares are not allotted or if the minimum subscription requirement is not met.
    - If there is a delay in refunding or unblocking, the issuer must pay interest at the rate of 15% per annum to the investors from the stipulated period.
    - Refunds are typically processed via the Application Supported by Blocked Amount (ASBA) mechanism.
3. **Listing and Trading**:
    - The specified securities must be listed on a stock exchange to allow liquidity and trading.
    - Shares must be credited to demat accounts within 6 days post issue.
4. **Monitoring Agency**:
    - If the issue size (excluding offer for sale) exceeds one hundred crore rupees, the issuer must appoint a monitoring agency (e.g., a credit rating agency or public financial institution) to monitor the use of issue proceeds [80, 137, 173A].
    - The monitoring agency submits reports on the utilization of funds, including any deviations from the stated objects.
5. **Post-Issue Reports and Compliance**:
    - Regular updates on the status of the issue (allotment, refund process) must be filed with SEBI.
    - The lead manager(s) must ensure that an advertisement detailing subscription, basis of allotment, refunds, and listing application is released within ten days from the completion of these activities in specified newspapers.
    - The lead manager(s) responsibility continues until the completion of the issue process and for any issue-related matter thereafter.
    - The lead manager(s) must confirm to bankers that all formalities are completed and funds can be released to the issuer or for refunds.
    - In case of underwriting devolvement, the lead manager(s) ensures that the notice is issued within ten days of issue closure.
    - For undersubscribed underwritten issues, the lead manager(s) must furnish information to SEBI about underwriters who failed to meet their obligations.

6. **Continuous Disclosure Post-Issue**:
    - The company must continue to disclose relevant financial information, updates on corporate governance, and other material developments as per SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
    - Quarterly financial statements and comprehensive annual reports are required.
    - A quarterly and annual disclosure of the company's shareholding pattern is required.

Green Shoe Option (GSO)

The Green Shoe Option is a stabilization mechanism where the company allows underwriters to sell up to 15% extra shares during an IPO to cover over-subscription and manage post-listing price volatility.

Named after Green Shoe Manufacturing Co., the first company to use this option in the U.S.

Purpose and Benefits

- Stabilizes post-listing price of specified securities.
- Provides liquidity support in the secondary market.
- Prevents the share price from falling below the issue price.
- Enhances investor confidence post-listing.

How it Works

Over-Allotment: Underwriters are allowed to issue 15% more shares than originally offered.

Price Stabilization Period: The stabilization process is typically available for a period not exceeding thirty days from the date trading permission is given by the stock exchanges for the allotted securities.

Stabilizing Agent: The issuer appoints a lead manager as a stabilizing agent, who is responsible for the price stabilization process.

Agreement: Prior to filing the draft offer document, the issuer and the stabilizing agent must enter into an agreement detailing the terms and conditions, including fees and expenses.

Borrowing Shares: Before filing the offer document, the stabilizing agent enters into an agreement with promoters or pre-issue shareholders (or both) to borrow specified securities for the purpose of over-allotment, not exceeding 15% of the issue size.

In an initial public offer, pre-issue shareholders and promoters may lend securities.

In a further public offer, pre-issue shareholders holding more than five percent of specified securities and promoters may lend securities.

Dematerialized Form: The borrowed specified securities must be in dematerialized form, and their allocation is made pro-rata to all successful applicants.

Special Accounts: The stabilizing agent opens a special bank account (distinct from the issue account) for monies from over-allotment and a special depository participant account for securities bought from the market during stabilization.

Market Purchases: The stabilizing agent determines when, how many, and at what price to buy securities from the market to stabilize post-listing price.

Returning Shares: Securities bought from the market are returned to the promoters or pre-issue shareholders usually within two working days after the stabilization period ends.

Shortfall Allotment: If the stabilizing agent cannot buy enough securities from the market, the issuer may allot further specified securities at the issue price in dematerialized form to cover the shortfall. These are then returned to the promoters or pre-issue shareholders in place of the borrowed securities.

Lock-in Exemption: The usual lock-in provisions do not apply to securities lent to the stabilizing agent for the green shoe option during the lending period, but they are locked-in for the remaining period once returned to the lender.

The draft offer document and offer document must contain all material disclosures about the green shoe option, as specified in Part A of Schedule VI.

Example

If an IPO has an issue size of ₹1,000 crore, underwriters might be allowed to allot ₹1,150 crore worth of shares. The excess ₹150 crore helps manage supply-demand after listing. The Green Shoe Option (GSO) is a stabilization mechanism used in public offerings, such as Initial Public Offerings (IPOs) and Further Public Offers (FPOs), to help stabilize the post-listing price of specified securities. It allows underwriters to sell up to 15% extra shares beyond the original issue size to cover over-subscription and manage price volatility after the shares begin trading.

Investor Protection

SEBI's primary objective in capital issue management is to protect the interests of investors through regulations and guidelines, establishing transparency in market dealings.

Key Mechanisms for Investor Protection:

- **Disclosure Requirements**: SEBI mandates full and accurate disclosure of all material information in the offer document (prospectus), including financial statements, risk factors (market, regulatory, financial, operational, etc.), business model, and promoter/management profiles.

- **Fair Pricing**: SEBI ensures that pricing is not arbitrary and is based on a fair valuation process. For IPOs, the company must disclose the method of pricing (book-building or fixed price).
- **Underwriting Regulation**: SEBI sets conditions for underwriters to ensure they are financially capable of taking up any unsold portion of the securities issue, thereby guaranteeing full subscription and reducing issuer risk.
- **Allotment Guidelines**: SEBI specifies detailed guidelines for the allotment process to ensure fair and proportionate distribution of securities to different investor categories (QIBs, RIIs, NIIs). Allotment must be completed within a strict timeline (T+6).
- **Refund Timelines and Penalties**: Strict timelines are set for refunds of application money if shares are not allotted or minimum subscription is not met, with a penalty interest rate of 15% per annum for delays.
- **Application Supported by Blocked Amount (ASBA)**: The ASBA facility is mandatory for accepting bids in public issues, where application money remains blocked in the investor's bank account until allotment, ensuring safety and electronic refunds.
- **Demat Account Mandate**: Securities are allotted only in dematerialized form, reducing risks associated with physical certificates like loss, theft, or forgery, and facilitating faster settlements.
- **Restrictions on Public Advertisements (for private placements)**: To prevent general public solicitation, companies undertaking private placements are prohibited from public advertisements or using general media/marketing channels.
- **Due Diligence**: Lead managers and other intermediaries are required to exercise due diligence to ensure the veracity and adequacy of disclosures in the offer documents.
- **Lock-in Periods**: Promoters' contributions and pre-issue capital are subject to lock-in periods to ensure their continued commitment to the company post-issue.

Broker, Sub-Broker, and Underwriters

These are key intermediaries involved in the capital issuance process, each with distinct roles.

Broker:

- A broker is a SEBI-registered entity that facilitates the trading of securities on stock exchanges. Investors place their buy or sell orders through brokers.

Sub-Broker / Authorised Person (AP):

- A sub-broker (or Authorised Person) acts as an agent of a broker.

- Their primary role is to connect retail investors to the main broker.
- They help reach underserved investors, collect Know Your Customer (KYC) details, and forward orders to the main broker.
- Sub-brokers cannot operate independently but work under the umbrella of a larger broking firm.

Underwriters:

- Underwriters are entities that guarantee to subscribe to any shortfall in a public issue. They provide issue assurance and reduce the risk for the issuer.
- They must be registered under SEBI (Underwriters) Regulations, 1993.

Key Functions and Obligations:

  - Assess demand and risk of the issue.
  - Enter into an underwriting agreement with the issuer prior to filing the prospectus, indicating the maximum number of securities they will subscribe to at a predetermined price not less than the issue price.
  - In a book-built issue, the lead manager(s) compulsorily underwrite the issue, and syndicate member(s) sub-underwrite with the lead manager(s).
  - A significant portion of the Qualified Institutional Buyer (QIB) allocation (at least 75% for certain issues) cannot be underwritten.
  - If the issue is under-subscribed, the underwriters are responsible for buying the unsubscribed portion.
  - If syndicate members fail to fulfill their underwriting obligations, the lead manager(s) must fulfill those obligations.
  - Lead manager(s) and syndicate members cannot subscribe to the issue except for fulfilling their underwriting obligations.
  - The underwriting obligations must be at least to the extent of minimum subscription.
  - In an SME IPO, the initial public offer must be underwritten for 100% of the offer, not just up to the minimum subscription level. The lead manager(s) must underwrite at least 15% of the issue size themselves.

Demat Accounts

A Demat Account (Dematerialised Account) is an electronic account used to hold financial securities like shares, bonds, and ETFs in digital form, as an alternative to physical certificates. It

is regulated by SEBI, along with depositories like NSDL (National Securities Depository Ltd) and CDSL (Central Depository Services Ltd). Agreements are entered into with depositories for dematerialization of securities.

Merits of Demat Account:

- **Safety**: Eliminates the risks associated with physical certificates such as loss, theft, forgery, or damage.
- **Faster Settlement**: Facilitates quicker settlement of trades, typically on a T+1 or T+2 basis.
- **Convenience**: Allows for easy transfer and trading of securities without the need for physical paperwork.
- **Reduced Transaction Costs**: May reduce stamp duty and other costs associated with physical share transfers.
- **Ease of Holding**: All securities are held in one electronic account, simplifying portfolio management.
- **Direct Credit of Corporate Benefits**: Dividends, bonus shares, rights entitlements, and other corporate actions are directly credited to the demat account.

Limitations (as inferred from focus on merits in sources): While the provided sources primarily highlight the merits and regulatory aspects of Demat accounts, common limitations (not explicitly detailed in the sources but generally understood) include:

- **Charges**: Demat accounts typically incur annual maintenance charges, transaction charges, and other fees.
- **Technological Dependence**: Requires access to internet and digital platforms, which might be a barrier for some investors.
- **Security Risks**: Though generally safe, electronic accounts are subject to cyber risks like hacking or phishing if proper security measures are not followed by the user.

All specified securities offered through an issue are required to be in dematerialized form, and allotment is also made electronically. Investors are instructed to provide their Permanent Account Number (PAN) in the application form, and applications without PAN may be rejected.

Here's an explanation of the connections between the topics you've listed, drawing information from the provided sources: